

TENTATIVE RULING(S) FOR September 4, 2026

Department S37 – Judge Winston Keh

This court follows California Rules of Court, rule 3.1308(b) for tentative rulings. (See San Bernardino Superior Court Local Emergency Rule 8.) Tentative rulings for each law & motion will be posted on the internet (<https://www.sb-court.org>) by 3:00 p.m. on the court day immediately before the hearing.

You may appear in person at the hearing although remote appearance by CourtCall is preferred. (See www.sb-court.org/general-information/remote-access).

If you do not have Internet access or if you experience difficulty with the posted tentative ruling, you may obtain the tentative ruling by calling the department (S-37) at (909) 708-8707 or the Administrative Assistant (909) 708-8756, who prepared the ruling.

If you (or both parties) wish to submit on the Tentative, notify the other party and call the department by 4:00 pm the day before and your appearance may be excused unless the Court orders you to appear.

You must appear at the hearing if you are so directed by the court in the tentative ruling. Be prepared to address those issues set forth by the court in its ruling.

UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF THE RULING.

CIVSB2331396

Cisneros v. JC Vintage Furniture

TENTATIVE RULING(S):

Defendant JC Vintage Furniture, Inc.'s Motion for Leave to File Cross-Complaint is GRANTED.

I. Applicable Law

Cross-Complaints are generally categorized as either compulsory or permissive.

Compulsory cross-complaints are governed by Code of Civil Procedure section 426.10, *et. seq.*

Compulsory cross-complaints arise when a named defendant has a related cause of action against the plaintiff. (Code Civ. Proc., §§ 426.10, subd. (c), 426.30, subd. (a).) A related cause of action means a cause of action that “arises out of the same transaction, occurrence, or series of transactions or occurrences” as the complaint. (Code Civ. Proc., § 426.10, subd. (c).) A cause of

action arises out of the “same transaction or occurrence” if the factual or legal issues are logically related. (*Align Technology, Inc. v. Tran* (2009) 179 Cal.App.4th 949, 965 [“[T]he ‘logical relationship’ inquiry is the preferred approach in ascertaining whether a claim arises out of the same transaction or occurrence so that it constitutes a compulsory counterclaim....”].) To be considered a compulsory cross-complaint, the related cause of action must have existed at the time defendant served its answer to the complaint. (*Id.* at p. 970.)

A defendant who fails to file a compulsory cross-complaint before or at the time of filing an answer must apply to the court for leave to file a cross-complaint. (Code Civ. Proc., § 426.50.) Generally, the court must grant leave to file a compulsory cross-complaint irrespective of whether the failure to timely file the cross-complaint was due to oversight, inadvertence, mistake, neglect, or another cause, so long as the party making the motion has not acted in bad faith or no substantial prejudice to the adverse party is shown. (*Silver Organizations Ltd. v. Frank* (1990) 217 Cal.App.3d 94, 98-100; Code Civ. Proc., § 426.50.) Judges must liberally construe the provisions of Code of Civil Procedure section 426.50 to avoid forfeiture of causes of action. A strong showing of bad faith is required to support an order denying leave to file a compulsory cross-complaint. (*Foot’s Transfer & Storage Co v Superior Court* (1980) 114 Cal.App.3d 897, 902-903 (*Foot’s Transfer & Storage*).)

II. Analysis

Defendant seeks leave to file a Cross-Complaint alleging three causes of action for breach of contract, fraudulent concealment, and negligent misrepresentation. (See Mirsky Decl., ¶¶12, Exh. A.)

The proposed Cross-Complaint arises from the same Purchase Agreement and transaction that form the basis of Plaintiffs’ Complaint. Defendant alleges that Plaintiffs breached the Purchase Agreement and failed to disclose conditions concerning the Subject Property, including alleged title deficiencies and material structural issues. Defendant further alleges that Plaintiffs refused to cure those conditions or otherwise resolve the alleged Material Change, resulting in the failure of the transaction to close. (Mirsky Decl., Exh. A, ¶¶ 14-25.)

The proposed Cross-Complaint is therefore a compulsory cross-complaint because its claims arise out of the same transaction and occurrence as Plaintiffs' claims. The fact that Defendant contends it did not discover certain evidence supporting those claims until May 29, 2026, does not alter the nature of the claims as arising from the same transaction.

Plaintiffs oppose the motion principally on the grounds that Defendant knew or should have known of the alleged deficiencies during escrow, that the filing would cause substantial prejudice, and that the proposed claims are futile.

Plaintiffs' arguments do not establish the requisite bad faith or substantial prejudice to overcome the liberal policy favoring leave under Code of Civil Procedure section 426.50. Defendant explains that, in preparation for trial, counsel identified facts giving rise to the proposed claims and that Defendant received documentation from Plaintiffs' lender on May 29, 2026. Defendant also states that the motion is being made in good faith and not for purposes of delaying or hindering trial. (Mirsky Decl., ¶¶ 7-11.)

Plaintiffs point to Defendant's existing affirmative defenses and contend that those defenses demonstrate Defendant was already aware of the factual theories underlying the proposed claims. Plaintiffs also point to allegations in the proposed Cross-Complaint concerning Defendant's discovery of property conditions after execution of the Purchase Agreement and to the Notice of Default that was recorded before the parties entered into the agreement. Those arguments may ultimately bear upon the merits of Defendant's claims, but they do not, on the present record, establish that Defendant acted in bad faith in seeking leave to file the Cross-Complaint.

Nor is substantial prejudice demonstrated. Although discovery had closed when the Opposition was filed, the Court subsequently continued the trial date to February 8, 2027. The additional time before trial substantially mitigates the prejudice asserted by Plaintiffs and permits any necessary discovery to be addressed through subsequent case management orders.

Plaintiffs also contend that the proposed Cross-Complaint is futile because the Notice of Default did not render title unmarketable and because the Purchase Agreement contemplated existing monetary encumbrances. Plaintiffs further contend that the fraud and negligent

misrepresentation claims may be barred by the applicable statutes of limitations. The Court does not find it appropriate to resolve those substantive issues on this motion. In general, “the preferable practice would be to permit the amendment and allow the parties to test its legal sufficiency by demurrer, motion for judgment on the pleadings or other appropriate proceeding.”

(Kittredge Sports Co. v. Superior Court, supra, 213 Cal.App.3d at p. 1048.)

Here, Defendant’s delay appears to have resulted from inadvertence, mistake, and/or neglect rather than bad faith. The Court therefore finds no sufficient basis to deny leave under Code of Civil Procedure section 426.50. Moreover, because the trial has been continued to February 2027, no substantial prejudice to Plaintiffs has been demonstrated.

Accordingly, in light of the strong policy favoring resolution of claims on their merits and against forfeiture of compulsory cross-claims, Defendant should be permitted to file the proposed Cross-Complaint.

DISPOSITION

Defendant JC Vintage Furniture, Inc.’s Motion for Leave to File Cross-Complaint is GRANTED.

Defendant shall file and serve the proposed Cross-Complaint within 10 days of notice of entry of this order.